

inevitable. That said, the approach to India will need to be entirely different due to the range of challenges—from the level to which manufacturing has evolved in India, the complex regulatory structures surrounding land acquisition and the many more peculiar issues that crop up while setting up an enterprise in India. It boils down to how persevering one can be to get the most out of what India has to offer. Sanjeev Sharma, Country Head and MD of engineering major ABB India, who has worked across continents, speaks of some similarities between China and India's development journey. "I was involved with China from 1994, and those who got into the country early, succeeded. There is that similarity with India and much of the same constraints; but the potential far outweighs everything else," he says. His company has been in existence for 130 years, and in India for over a century. "We have been manufacturing for 78 years and there is absolutely no doubt that success in India comes only from having a long-term commitment."

To him, manufacturing, regardless of the stage of development, will always provide a multiplier effect. "In India's case, we have a low per capita income. Therefore, when you expand, there is a significant re-distribution of wealth that takes place," says Sharma.

A growing GDP with a higher proportion from manufacturing makes for the most potent combination. "If we look at the past 8-10 years and manufacturing's contribution to GDP, the aspiration was always to be 25 per cent or more. However, that number has always remained between 15-17 per cent," says Soumyadeep Ganguly, Partner at McKinsey & Company. To him, the target of 25 per cent in a \$5-trillion economy is achievable. For that to take place, some factors—such as strong domestic demand, the need for employment generation, growth in FDI and the export opportunities that will be available with the supply chain transformation currently underway globally, along with India's ability to attract capital from diverse sources that complement the government's own capex, and finally, the push for sustainability and new tech emerging thereon—are critical.

Ganguly believes there are sectors such as electronics, capital goods, chemicals and speciality chemicals, textiles and apparel, and auto and auto components that will lead India's growth in manufacturing. "All these are well poised today. Besides, we have investments coming in here and a lot of supply chain solutions already making the shift to India," he explains. That said, one also needs to look at the sunrise sectors among which are aerospace and defence, low carbon tech and semiconductors. He says that these upcoming sectors would be large drivers of the Indian manufacturing story. On the



"A mature ecosystem with skilled manpower, cost advantage and digital prowess makes us believe that we can enhance our manufacturing footprint in India"

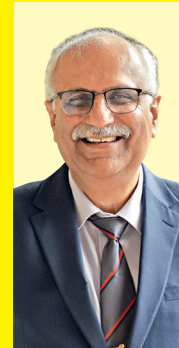
VYANKATESH KULKARNI

EXECUTIVE DIRECTOR & HEAD OF OPERATIONS, MERCEDES-BENZ INDIA

"With Industry 4.0 (the operation of machinery with tech connected through the internet), 5G and other advancements, the next few years will be hugely exciting"

ARUN T. RAMCHANDANI

EXECUTIVE VICE PRESIDENT, L&T DEFENCE



"The cascading effects of policy, tech and research-based growth will lead to many SMEs making the transition to manufacturing unicorns, and tech for the future will primarily originate from start-ups"

K.C. JHANWAR

MANAGING DIRECTOR, ULTRATECH CEMENT

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